

**Before the
FEDERAL MARITIME COMMISSION**

Docket No. 24-13

**Access One Transport, Inc.,
v.
COSCO Shipping Lines Co., Ltd.**

RESPONDENT’S MOTION TO STRIKE OR FOR LEAVE TO FILE A SURREPLY

Respondent COSCO Shipping Lines Co., Ltd. (“Respondent” or “COSCO”) hereby moves to strike the portions of the Reply Brief, including the improperly filed “Supplemental Rebuttal Appendix” and “Complainant’s Reply to Respondent’s Responses to Access One Transport Inc.’s Proposed Findings of Fact” by Complainant Access One Transport, Inc. (“Complainant” or “AOT”). In the alternative, the Presiding Officer is required by Due Process to allow COSCO to file a surreply responding to the improper filings. The grounds for this motion, elaborated below in the Memorandum in Support are that Complainant’s Responses to COSCO’s Responses to Complainant’s Proposed Findings of Fact and Complainant’s supplemental Appendix (i) contravene the governing Scheduling Order and (ii) include new arguments and evidence that were required to be submitted in connection with the Opening Brief, if at all.

Counsel for Respondent has conferred with Counsel for AOT, who opposes this Motion.

MEMORANDUM IN SUPPORT OF MOTION

INTRODUCTION

Complainant has filed, in conjunction with its Reply Brief: (i) a “Supplemental Rebuttal Appendix” of newly introduced factual material; and (ii) a “Reply to COSCO’s Response to

Access’ proposed facts.” Such filings on Reply are not provided for in the Commission’s regulations and are flatly inconsistent with the Scheduling Order governing the nature and timing of filing documents in this proceeding.

Even apart from the FMC Rules, these improperly filed documents are flatly contrary to the Commission’s and the courts’ strict prohibition against “sandbagging.” That is, Complainant has included in its “last chance” Reply Brief and Appendix both argument and purported “evidence” that was required to be filed in its Opening Brief, if at all.

The appropriate remedy for this blatant flouting of the Scheduling Order and the limitations on reply briefs is to strike the offending documents, as Judge Hervey recently did in *Marine Transport Logistics, Inc. v. CMA CGM, S.A.* (FMC Docket No. 22-23), 2024 WL 4678463 (ALJ Order on Respondent’s Motion to Strike, October 30, 2024). Should the Presiding Officer fail to strike the improperly filed documents, which we believe would be an abuse of discretion, she would by law be required to permit Respondent to respond to those unauthorized filings.

ARGUMENT

Complainant here has engaged in a classic case of “sandbagging.” Complainant’s Opening Brief simply failed to make showings that Complainant was required to demonstrate in order to prove the elements of the violations it claimed. And, as addressed at length in the Opposition Brief, Complainant also failed entirely to submit documentary evidence necessary to prove its case.

Now, after Respondent has filed its last, and only (in the normal course) brief, Complainant has improperly sought to surreply to Respondent’s reply to Complainant’s proposed filings of fact, and, even more egregiously, has sought to introduce new evidence that it was required to submit with its Opening Brief, if at all.

1. The Presiding Officer Must Strike the “Supplemental Rebuttal Appendix” and “Reply to COSCO’s Responses to Access One Transport’s Proposed Facts”

a. **Both Unauthorized Filings Violate the Scheduling Order**

Complainant cites as authority for this “supplemental rebuttal Appendix” 46 C.F.R. § 502.202, which provides that “Every party has the right to present its case or defense by oral or documentary evidence, to submit rebuttal evidence, and to conduct such cross-examination as may be required for a full and true disclosure of facts.” This rule continues, “The presiding officer, however, has the right and duty to limit the introduction of evidence. . .” Indeed, filings in this matter are controlled by the July 3, 2024 Scheduling Order issued by the Presiding Officer. That Scheduling Order makes clear that Appendices and replies to Respondents response to Complainant’s proposed findings of fact are not to be filed with the Complainant’s Reply Brief. It states in pertinent part (emphasis added):

FURTHER ORDERED that the parties follow this schedule:

December 13, 2024	Complainant’s Brief, Proposed Findings of Fact, <i>and Appendix</i>
January 20, 2025	Respondent’s Opposition Brief, <i>Responses to Proposed Findings of Fact</i> , Proposed Findings of Fact, <i>and Appendix</i>
February 3, 2025	Complainant’s Reply Brief and Responses to Respondent’s Proposed Findings of Fact [NOTE: no provision for a Supplemental Rebuttal Appendix or a <i>Reply to Respondent’s Responses to Complainant’s Proposed Findings of Fact</i>]

It cannot be contravened that the Scheduling Order specifically provides for: (1) an Appendix and Proposed Findings of Fact to be submitted with the Opening Brief, and (2) an Appendix and Response to Complainant’s Proposed Findings of Fact to be submitted with the Opposition Brief, but (3) specifically *does not* provide for an Appendix or reply to Respondent’s

response to Complainant's Proposed Findings of Fact to be submitted with the Reply Brief.¹ Complainant's decision to nevertheless file a factual Supplemental Appendix and a reply to Respondent's response to AOT's proposed findings of fact are thus in plain contravention of the Order, and so must be stricken.²

b. Both Unauthorized Filings Constitute the Prohibited Practice of "Sandbagging"

Even apart from this violation of the Presiding Officer's Scheduling Order, this new Appendix and new arguments in the Reply Brief must be rejected as forbidden "sandbagging."³ The impropriety of raising new arguments and submitting new evidence in reply briefs is well established.

The cases holding that courts should strike, or disregard new arguments/evidence first raised in reply briefs are legion. We here note just a few of them.

In *Hamilton v. Willms*, 2007 WL 2558615 (E.D. Cal.), for example, the court explained:

"The court cannot grant [in that case a motion] on a new argument or new argument or new evidence presented for the first time in a reply brief. The court declines to consider the new evidence offered in the reply briefs. . . . Parties are required to raise all of their arguments in their opening brief to prevent 'sandbagging' of [the] non-moving party." (Citations to eight supporting cases omitted).

¹ This limitation cannot come as any surprise to Complainant, as Complainant and Respondent jointly proposed the schedule adopted by the Presiding Officer. *See* Joint Status Report and Proposed Discovery Schedule (June 27, 2024).

² Nor, shockingly, in light of the Order, did Complainant enter a motion for leave to file such otherwise forbidden documents.

³ Although courts sometimes make exceptions where the evidence was not available or the argument could not be made at the time the opening brief was submitted, no such exception applies here. All the arguments made in Complainant's Reply Brief were known, and could have been made, in its Opening Brief. Likewise, the new evidence that Complainant seeks to introduce was in its possession well before it filed the Opening Brief, in which it could/should have included the material. As explained in Mr. Uthoff's declaration (CX01482-CX01483), "The original confidential emails [reproduced at] CX01467-CX01480 were served as part of COSCO's responses to discovery and were bates marked by COSCO as shown on the face thereof."

Likewise, in *Corson and Gruman Co. v. NLRB*, 899 F.2d 47, 50 n.4 (D.C. Cir. 1990), the D.C. Circuit explained: “We require petitioners and appellants to raise all of their arguments in the opening brief to prevent ‘sandbagging’ of appellees and respondents and to provide opposing counsel the chance to respond.”

Courts in many other cases have declined to consider arguments/evidence first raised in reply briefs. The court in *In re Basquez*, 2020 WL 6929242 (C.D. Cal. 2020), for example, held that it would not consider new evidence first raised in a reply brief, stating:

“[I]t is unfair to opposing parties for a moving party to include new evidence with a reply brief. All evidence in support of a motion should be included in the initial moving papers. In rare instances, it may be appropriate to include evidence with reply papers (i.e., if the evidence was not available when the motion was filed). But in nearly all circumstances procedural fairness requires that moving parties present all the evidence upon which they intend to rely before the deadline for which opposing parties must respond to the motion. . . . Attempting to present evidence after the opposing parties no longer have an opportunity to respond to a motion is inherently unfair and improper.”

Accordingly, the court ordered that the offending evidence be “stricken.” *Id.* See also *Knipe v. Skinner*, 999 F.2d 708, (2nd Cir. 1993) (disregarding arguments made in reply and stating that “[a]rguments may not be made for the first time in a reply brief); *Clubside, Inc. v. Valentin*, 468 F.3d 144, 160 (2d Cir. 2006) (“we generally do not consider arguments that are raised for the first time in a reply brief”); *Artuso v. Feit*, 2022 WL 17960677 (N.D. Ohio 2022) (disregarding new evidence); *Lattimore v. Brahmbatt*, 2022 U.S. Dist. Lexis 206087 at *6; 2022 WL 1599326 (W.D. Va. 2022) (refusing to consider matters first raised in reply brief).

The Commission follows the same rule as that followed by the federal courts. In *Marine Transport Logistics, Inc. v. CMA CGM, SA*, FMC Docket No. 22-23, 2024 WL 4678463 (ALJ Order on Respondent’s Motion to Strike, October 30, 2024), the Administrative Law Judge granted

a motion to strike argument and evidence that had not appeared in the complainant's opening brief but had been inserted in its reply. She explained:

“In general, parties are required to raise all of their arguments in an opening brief to prevent “sandbagging” that deprives the opposing party of the opportunity to respond, and not doing so constitutes a waiver of the arguments not raised in the opening brief. *Corson and Gruman Company v. National Labor Relations Board*, 899 F.2d 47, 51 n.4 (D.C. Cir. 1990) (citing *Reyes-Arias v. INS*, 866 F.2d 500, 504 n.2 (D.C. Cir. 1989)). Where, as the case is here, new arguments are raised for the first time on reply it is appropriate to decline to hear those arguments. *Ner Tamid Congregation of N. Town v. Krivoruchko*, 620 F.Supp.2d 924, 929 (N.D.Ill.2009); see also *Autotech Techs. Ltd. P’ship v. Automationdirect.com Inc.*, 235 F.R.D. 435, 437 (N.D.Ill.2006).” *Id.* at *2.

As such, even if new factual Appendices and surreplies regarding the proposed findings of fact were not prohibited by the Scheduling Order, the Presiding Officer would still need to order that they be stricken. She should also strike any arguments based on and references to the unauthorized filings and/or any new evidence/evidence set forth therein. Specifically, the Presiding Officer should decline to consider the evidence first presented in Complainant's “Supplemental Rebuttal Appendix” – namely, Complainant's Initial Disclosures, confidential COSCO emails, and the Supplemental Declaration of William Thompson – as well as all references thereto in Complainant's Reply to Respondent's Responses to Access One Transport's Proposed Findings of Fact.

2. If the Presiding Office Does Not Strike the Appendix/Reply, She Must Grant Respondent an Opportunity to Respond Thereto

As shown above, the Presiding should strike both the “Supplemental Appendix” and Complainant's sur-reply regarding proposed findings of fact. If, contrary to that showing, she does not strike all of the offending submissions, she must allow Respondent to file a sur-reply addressing whatever remains unstricken.

The law is clear that where a trial court declines to strike new arguments or new evidence first presented on reply, it **must** permit the opposing party an opportunity to respond. Any other course is an abuse of discretion. As the courts have explained:

“It is well-settled that a movant cannot raise new issues for the first time in a reply brief because consideration of such issues deprives the non-moving party of its opportunity to address the arguments. ‘[W]hile a district court nonetheless has the discretion to consider an issue raised in a reply brief, or new evidence submitted with a reply, it **must first** give the opposing party a reasonable opportunity to respond to the new argument or evidence. **Failure to do so is an abuse of discretion.**” *Hicks v. City of Millersville*, 2022 U.S. Dist. Lexis 150107 at *21 n.6; 2022 WL 3589489 (M.D. Tenn. 2022) (emphasis added; citations omitted).

Or as the Eleventh Circuit has stated:

“When faced with a reply brief that offers new evidence, we, like the Tenth Circuit, conclude that the district court has two permissible courses of action. It can either (1) permit the nonmoving party to file a surreply or (2) refrain from relying on any new material contained in the reply brief. **But it may not preclude the nonmoving party from filing a surreply and then grant summary judgment based on new material** presented only in the reply brief.” *Atlantic Specialty Insurance Co. v. Digit Dirt Worox, Inc.*, 793 Fed Appx. 896, *900; 2019 U.S. App. Lexis 33013; 2019 WL 5704518 (11th Cir. 2019) (emphasis added; citations omitted).

Accordingly, the Court of Appeals in that case reversed a trial court decision to consider new material without allowing a surreply. *Accord, Doebele v. Sprint/United Management Co.*, 343 F.3d 1117, 1139 n.6 (10th Cir. 2003). In the case of *Seay v. TVA*, the Sixth Circuit expressly rejected the lower court’s determination that new matters raised in reply could be considered without a surreply because they merely pointed out facts in the non-moving party’s possession. *Seay v. TVA*, 339 F.3d 454, 481-82 (6th Cir. 2002). To the contrary, the court held that considering such new matter in a reply was inconsistent with the federal rules, and in particular inconsistent with F.R.C.P. 56(c) governing summary judgment. *Id.*

The FMC follows these federal rules. In *TPG Pressure, Inc. v. Omni Logistics LLC*, Chief Administrative Law Judge Wirth granted the respondents’ motion for leave to file a surreply and

supplement the record after the complainant introduced new evidence and raised new arguments in its Reply Brief. *TPG Pressure, Inc. v. Omni Logistics LLC*, FMC Dkt. No 22-31 (Order Granting Reconsideration and Granting Leave to File a Sur-Reply, June 10, 2024).

CONCLUSION

For the foregoing reasons, the Presiding Officer should strike the Supplemental Rebuttal Appendix and Reply to COSCO's Responses to AOT's Proposed Findings of Fact. In the alternative, the Presiding Officer is required by Due Process to permit Respondent to file a surreply addressing any of the above that she does not strike.

Dated: February 3, 2025

Respectfully submitted,



Eric C. Jeffrey
Rebecca A. Fenneman
Kaya C. Massey
Nicholas L. Webb

JEFFREY FENNEMAN LAW
+ STRATEGY, PLLC
700 12th Street, NW Suite 700
Washington, DC 20005

Counsel for Respondent COSCO

CERTIFICATE OF SERVICE

I hereby certify that on this 3rd day of February, 2025, a true and correct copy of the foregoing **Respondent's Motion to Strike Complainant's Supplemental Rebuttal Appendix or For Leave to File a Surreply** was served by electronic mail on all counsel of record in accordance with 46 CFR Part 502 and the Commission's Order of May 12, 2020 as follows:

Stephen M. Uthoff, Esq.
The Uthoff Law Corporation
111 W. Ocean Blvd., Suite 400
Long Beach, California 90802
t. 562-437-4301
f. 562-437-4341
email; suthoff@uthofflaw.com
Attorney for Complainant
Access One Transport, Inc.



Kaya C. Massey
KMassey@JeffreyFenneman.com
JEFFREY/FENNEMAN LAW + STRATEGY, PLLC
700 12th Street, NW Suite 700
Washington, DC 20005